



BKM INDUSTRIES LIMITED

Board Diversity Policy

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Applicable legal and regulatory framework

This Policy shall be read with the following principal requirements, each as amended, replaced, saved or brought into force from time to time:

- Companies Act, 2013, sections 149 and 178 and Schedule IV
- SEBI Listing Regulations, regulations 17 and 19 and Part D of Schedule II
- Applicable rules and Secretarial Standards

STATUTORY OVERRIDE

If this Policy is inconsistent with a mandatory law, regulation, rule, circular, stock-exchange direction or judicial order, the mandatory requirement prevails. A more beneficial statutory employment benefit also prevails.

Policy provisions

Preamble

BKM Industries Limited (“Company”) recognizes that an effective Board of Directors is one that comprises individuals with diverse backgrounds, experiences, perspectives, skills and personal attributes. Diversity contributes to better decision-making, promotes innovation, strengthens governance practices and enhances the Company's ability to create sustainable long-term value for its shareholders and stakeholders.

The Company believes that diversity encompasses a wide range of factors including professional experience, industry expertise, skills, educational qualifications, gender, age, social, cultural and geographic backgrounds, international exposure, independence, tenure and diversity of thought.

This Policy has been formulated pursuant to Section 178 of the Companies Act, 2013, applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and other applicable laws.

The Board, acting through the Nomination and Remuneration Committee (“NRC”), shall strive to maintain an optimum mix of diversity on the Board while ensuring that appointments are made on merit and in the best interests of the Company. The Company recognizes the importance of reflecting stakeholder perspectives, including those of shareholders, employees, customers, suppliers and communities.

- Definition

For the purposes of this Policy, "Board Diversity" refers to the inclusion of individuals with differing skills, experience, backgrounds, attributes and perspectives that collectively enhance the effectiveness of the Board.

Objectives

The objectives of this Policy are to:

- promote a diverse and balanced Board composition;
- ensure that the Board possesses an appropriate combination of skills, knowledge, experience and perspectives relevant to the Company's business and strategic direction;
- support effective corporate governance and risk oversight;
- encourage diversity of thought and independent judgment in Board deliberations;
- strengthen succession planning for the Board and Board Committees;
- support sustainable business growth and long-term stakeholder value creation; and
- comply with applicable legal and regulatory requirements relating to Board composition.

Scope

This Policy applies to the Board of Directors of the Company and shall be considered by the NRC while:

- identifying and evaluating candidates for appointment or re-appointment as Directors;
- assessing Board composition and effectiveness;
- reviewing succession planning;
- evaluating Board diversity objectives; and
- making recommendations to the Board.

Principles Of Board Diversity

The Company recognizes that diversity is a strategic asset and seeks to maintain a Board comprising directors who collectively provide an appropriate balance of:

- Professional and Industry Experience

The Board should collectively possess expertise in areas relevant to the Company's operations and future growth, including:

- Manufacturing and industrial operations;
- Finance, accounting and taxation;
- Banking and capital markets;
- Corporate governance, legal affairs and regulatory compliance;
- Risk management, internal controls and strategic risk oversight;
- Sustainability, ESG oversight, sustainability reporting and climate-related matters;
- Human resources, talent management and organizational leadership;
- Technology, cybersecurity, data governance, innovation and digital transformation;
- Supply chain and procurement;
- Sales, marketing and customer engagement;
- International business and global markets; and
- Strategic planning, business transformation and emerging technologies.
- Diversity of Thought

The Company values independent thinking and constructive challenge. Directors should bring different viewpoints and perspectives to Board discussions to enhance decision-making and governance outcomes.

- Gender Diversity

The Company is committed to promoting gender diversity at the Board level and shall comply with all applicable legal requirements relating to the appointment of women directors.

The NRC shall actively seek to identify suitably qualified women candidates whenever Board vacancies arise and shall endeavour to maintain appropriate gender diversity on the Board, consistent with the Company's requirements, applicable law and merit-based selection principles.

- Age and Tenure Diversity

The Board shall seek an appropriate balance between directors with extensive experience and those bringing fresh perspectives and contemporary insights.

Consideration may be given to Board tenure to maintain continuity while supporting orderly refreshment of Board composition.

- Educational and Professional Background

The Board should collectively benefit from diverse educational qualifications, professional credentials and technical expertise relevant to the Company's present and future business environment.

- Geographic and Cultural Diversity

Where appropriate, consideration may be given to candidates with varied geographic exposure, international business experience and cultural backgrounds that enhance the Board's understanding of evolving markets and stakeholder expectations.

- Independence

The Company recognizes the importance of maintaining an appropriate balance of Executive, Non-Executive and Independent Directors.

Independence, objectivity and freedom from conflicts of interest shall remain critical considerations in Board appointments.

- Diversity Philosophy

The Company believes that diversity is not an end in itself but a means to strengthen Board effectiveness. The objective of this Policy is to ensure that Board appointments are made on merit while benefiting from diverse perspectives, experiences and expertise that support informed decision-making and long-term value creation.

Board Skills And Diversity Matrix

The NRC shall periodically review the Board's collective skills, competencies and diversity profile through a Board Skills and Diversity Matrix.

The Matrix may include, among other attributes:

The Board Skills and Diversity Matrix may be reviewed annually and updated to reflect changes in the Company's strategic priorities, business environment and governance requirements.

The purpose of the Matrix is to assist the NRC and Board in identifying strengths, potential gaps and future appointment requirements.

The Matrix shall not create any entitlement or mandatory quota but shall serve as a governance tool to support Board effectiveness.

The NRC may maintain and periodically review a Board Skills Matrix identifying the key competencies represented on the Board and areas requiring future enhancement.

Appointment And Re-Appointment Of Directors

Appointments to the Board shall be based on merit and objective criteria, having due regard to the benefits of diversity.

In assessing candidates, the NRC may consider:

- professional qualifications and experience;
- leadership capabilities;
- industry knowledge;
- integrity and reputation;
- independence and objectivity;
- diversity attributes;
- ability to devote sufficient time to Board responsibilities;
- contribution to Board effectiveness; and
- alignment with the Company's values and strategic objectives.

No individual factor shall be considered in isolation.

Succession Planning And Board Refreshment

The NRC shall periodically review succession plans for the Board and Board Committees to ensure continuity of leadership and governance effectiveness.

Succession planning shall seek to:

- maintain an appropriate balance of skills and experience;
- support diversity objectives;
- address anticipated retirements or departures;
- identify future leadership requirements; and
- promote orderly Board refreshment.

The Board recognizes that periodic refreshment supports continued effectiveness while preserving institutional knowledge and continuity.

Role Of The Nomination And Remuneration Committee

The NRC shall:

- periodically review the size, composition and diversity of the Board;
- assess the effectiveness of this Policy;
- identify diversity gaps and future requirements;
- maintain and review the Board Skills and Diversity Matrix;
- consider diversity while recommending appointments and reappointments;
- oversee succession planning for Directors and Key Managerial Personnel where applicable;
- review Board composition against strategic and governance requirements; and
- recommend amendments to this Policy as necessary.

Monitoring And Annual Review

The NRC shall review this Policy at least once annually or as may be required due to:

- changes in applicable laws or regulations;
- changes in governance standards;
- changes in the Company's strategic priorities; or
- emerging best practices in Board diversity and inclusion.

The outcome of such review shall be reported to the Board.

As part of the annual evaluation of the Board, Committees and individual Directors, the NRC may assess whether the Board's composition continues to provide an appropriate balance of skills, experience, diversity and independence necessary for effective governance and strategic oversight.

Disclosure

This Policy shall be disclosed on the Company's website and in such reports, filings and disclosures as may be required under applicable laws and regulations.

The Company may disclose, where appropriate and as required under applicable laws, regulations or governance practices, information relating to:

- Board composition;
- Board diversity initiatives; and
- Board Skills and Diversity Matrix.

Policy Governance

The Board of Directors shall have overall responsibility for this Policy.

The NRC shall administer, monitor and recommend modifications to the Policy.

In the event of any inconsistency between this Policy and applicable laws or regulations, the provisions of applicable law shall prevail.

Amendment

The Board may amend, modify or revise this Policy from time to time upon the recommendation of the NRC and subject to applicable laws and regulations.

Interpretation

Any questions relating to the interpretation, application or implementation of this Policy shall be determined by the Board of Directors, whose decision shall be final and binding, subject to applicable laws and regulations.

Effective Date

This Policy shall come into effect from the date of approval by the Board of Directors of BKM Industries Limited and shall remain in force until modified or replaced.

Schedules retained from the source policy

Schedule 1

Category	Areas Considered
Business Leadership	Strategic leadership, business growth, corporate management
Industry Expertise	Manufacturing, industrial operations, supply chain
Financial Expertise	Accounting, finance, audit, capital markets
Governance & Compliance	Corporate governance, legal, regulatory affairs
Risk Management	Enterprise risk management, internal controls
Sustainability & ESG	Sustainability strategy, ESG oversight, climate matters
Technology & Digital	Digital transformation, cybersecurity, innovation
Human Capital	Talent management, succession planning, culture
Market Expertise	Sales, branding, customer engagement, international business
Diversity Attributes	Gender, age, educational qualifications, professional experience, social, cultural and geographic backgrounds, tenure and diversity of thought.
	Independent judgment, objectivity and freedom from conflicts of interest

Governance, monitoring and records

- Policy owner: Company Secretary. The owner shall maintain procedures, registers, evidence and training appropriate to the control risks.
- Functional heads must escalate suspected breaches promptly and cooperate with reviews or investigations.
- Records must be accurate, access-controlled and retained for the longer of the statutory period, an applicable legal hold and the Company's Preservation Policy.
- A person who raises a concern in good faith is protected from retaliation, subject to the Company's whistleblower framework.

Review, approval and controlled disclosure

This Policy shall be reviewed annually and earlier on a material legal, regulatory, operational or organisational change. Amendments require approval by the Board of Directors on recommendation of NRC unless a law permits a delegated, non-substantive update.

After approval, the Company shall place the Policy or the required disclosure/web-link on its website and in corporate reports to the extent mandated by applicable law. Only the approved controlled copy may be published.